

**Time:** 5 minutes**Outcome:** Analyze International Trade: Quotas.**Difficulty:** ●○○ Beginner

International Trade: Quotas



THE CORE IDEA

An import quota directly limits the quantity of a good that may enter the country. A binding quota reduces imports below their free-trade level, raises the domestic price, increases domestic production, and reduces domestic consumption. The price gap between the domestic quota price and the world price creates quota rent. Who receives that rent affects the country's national-surplus result, while the production and consumption distortions create deadweight loss.



HOW TO RECOGNIZE IT

- Begin with the free-trade outcome at the world price.
- A binding import quota limits imports below their free-trade quantity.
- The restriction raises domestic price, increases domestic production, and reduces domestic consumption.
- The gap between the quota price and world price creates quota rent on each permitted import.
- Look for deadweight loss from excessive domestic production and reduced consumption.



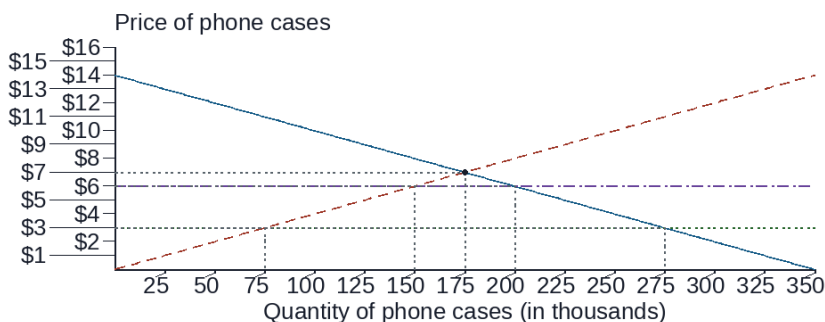
WATCH OUT

Do not assume quota rent automatically becomes government revenue. It accrues to whoever holds the import rights; auctioning those rights can transfer the rent to government. The recipient matters for national welfare, while production and consumption distortions create deadweight loss.



WORKED EXAMPLE: QUOTA PRICE AND IMPORTS

— Ddomestic - - - Sdomestic ... World Price - - - Domestic Price under quota



Before trade, domestic supply and demand intersect at a price of \$7. With free trade, buyers can purchase at the \$3 world price, which creates imports. The quota limits imports, so the domestic price rises to \$6. The difference between the \$6 quota price and the \$3 world price is \$3 per imported unit; that \$3 gap is quota rent.



CHECK YOURSELF

World price is \$3 and the quota raises domestic price to \$6. What is the rent per imported unit, and why does the identity of the license holder matter for national surplus?

**READY?**

Return to the game and master this concept.